

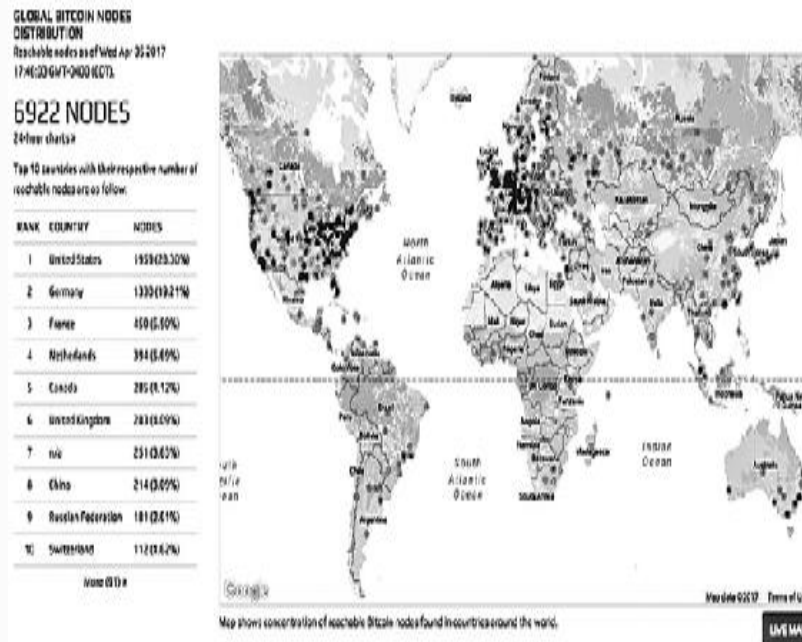


Figure 13.8 Bitcoin node distribution as of April 2017

Source: <https://bitnodes.21.co/>

People are often confused when they see Figure 13.8 as the United States and Germany have the most Bitcoin nodes, while China is lower in the list, which at face value seems to contradict the idea that most miners are in China. Not all nodes are made equal. A single node could have a large number of mining computers behind it, hence capturing a large percentage of the overall network's hash rate, while another node could have a single mining computer supporting it, amounting to a tiny fraction of Bitcoin's hash rate. A node is merely a point of connection to the network, and they differ drastically in the compute power they contribute. Hence, the combination of geographic node distribution and hash rate concentration amongst the nodes gives a fuller picture of the decentralization of hardware supporting a cryptoasset.